

sented the largest and most substantial business companies in this country—had to depend on gossip and blind faith rather than upon analysis or sober business judgment.

But we have not yet by any means reached the end of this constantly growing demand for wider corporate publicity, and the Stock Exchange is still doing all it can to further and assist the movement. There can be little stability in general business without stability of investment conditions, and stable investment is completely dependent upon knowledge and upon facts. An important element in the depressions which we are all desirous of minimizing or avoiding in the future, is the tendency of business in prosperous periods to build up large capital structures out of proportion to future earning power. It is questionable whether public law or private example can ever wholly eliminate this perennial enemy of stable business. But it can be checked and—compared at least with former periods—it is being checked by the more complete and accurate information regarding business companies for which the New York Stock Exchange has so long striven.

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*Panics in this country have not been due so much to any actual poverty or lack of property, as to a sudden illiquidity or unsalability of property.*

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Perhaps the most serious menace to stability in the American investment markets is the very old and very widespread problem of fraudulent securities. I do not hesitate to assert that the enormous sums which inexperienced American investors are each year persuaded to pour into worthless and crooked business enterprises is not only a serious drain upon the resources of American business but also a prime factor in hampering and limiting the proper stabilization of our national business conditions. In recent years the New